

Portfolio Investment Guidelines

Investment Strategy: Conservative Growth

These guidelines govern the construction of the Q2 2026 equity portfolio.

Allocation Constraints:

- Maximum allocation per single stock: 30%
- Minimum allocation per stock: 10%
- Preferred stocks: those rated strong_buy by analysts
- Strong buy stocks should receive higher weight than buy-rated stocks

Portfolio Parameters:

- Total investment amount: \$100,000
- Investment universe: tracked stocks available through the firm's financial market data service
- Rebalancing frequency: quarterly

Suggested Weight Distribution:

- Strong buy stocks: 25% each (if two stocks, total 50%)
- Buy stocks: remaining allocation split proportionally (e.g., 20%, 15%, 15% for three buy-rated stocks)

Risk Guidelines:

- Diversify across sectors to reduce concentration risk
- Monitor analyst ratings quarterly and adjust weights accordingly
- Review and rebalance if any position drifts more than 5% from target